



Financial reporting

Financial reporting is when a company publishes statements showing its assets (what it owns), its liabilities (what it owes), and its financial status. This information is used by investors to keep track of the company's progress.

How it works

There are legal requirements around financial reporting to ensure that a company gives a full and fair statement of its financial affairs. The company must show its performance over the year or half year, any significant changes to its financial position, and whether it has made money or incurred liabilities or losses during the year.

Two financial reports are usually issued per year—the half-year report, and the annual report. For firms that are publicly owned—i.e. their shares are traded on the stock market—the annual report must be made public and freely available for investors to read.

Companies usually publish a number of documents: an annual report showing the firm's activities during the year; a balance sheet showing its current assets and liabilities, and the working capital (difference between the two); a statement of cash flows and statement of stockholder's equity; and financial details on its website for investors. This information is used by investors to keep track of the company's progress.



WARNING

A **balance sheet** is a snapshot of a company's financial position on one particular day. Although it is a good guide to the financial health of a company, doctored reports can, and in the past have been used to, hide large debts or liabilities, and not reveal them to the auditors who are checking the annual report or balance sheet. Auditors may be alerted to fraud by a number of "red flags" or warning signs—these could be anything from negative cash flows that miraculously become positive the following year, to sales registered before they have been made, to an unusual rise in gross margin.



Case study: balance sheet

This example, from a water company, shows how a balance sheet works.

ASSETS, LIABILITIES, AND CAPITAL

Fixed assets

Intangible assets
Tangible assets
Investments

Current assets

Stock and work in progress
Debtors
Cash at the bank and in hand
Total current assets

Creditors—amounts coming due within one year

Net current assets

Total assets less current liabilities

Creditors—amounts coming due after more than one year
Provisions for liabilities and charges
Retirement benefit obligations
Deferred income

Net assets

Stockholders' equity

Issued share cap
Retained profit (or earnings)

Shareholders' funds

SYMBOLS FOR DEBITS AND CREDITS

Accountants use a number of different terms and symbols to indicate debits and credits. Some use "Dr" for debits and "Cr" for credits, others use "+" for debits and "-" for credits. On this balance sheet, brackets are used to show credits (negative numbers).